

No such place as Easy Street

Niraj Sheth and The Loan Depot grow wiser and stronger through adversity

Niraj Sheth got the idea in the early 1990s to start a company that would help hoteliers find the money they need to grow their enterprises.

While banks were reticent to loan to Asian Americans and other minorities at the time, Sheth knew there were financing paths that worked. The CMBS market was a new source of capital and government guarantees for small-business loans were available from the U.S. Small Business Administration, or SBA.

After obtaining an MBA in Buffalo, New York, Sheth moved his family to Chattanooga, Tennessee, to set up what he calls a “one-stop shop” for hotel financing. It was an idea, but not always a good one.

In the years that followed, Sheth found himself fighting not only for Asian American hoteliers’ businesses, but his own. National economic collapses and bad partnerships have threatened his livelihood, at one time wiping out everything he had. The trials also tested Sheth’s vision, fortitude and honed his business chops.

Today, Sheth’s company, The Loan Depot LLC, is a product of hard lessons learned and battles won. He is the first to tell you where he failed in the past, and how that has made him into a better person – not only in business, but in the community and in his family.

“My business model is to help, protect and educate,” he said during an interview in his metro-Atlanta office. “I also believe in sharing the wealth. If you do not share your good fortune; if you keep it for yourself, you will lose it.”

He credits his wife, Meeta, a pharmacist, who continued to encourage him to reach for his dream no matter what. The Loan Depot’s survival and ultimate success “is all because of my wife.”

Minority business woes

Sheth, 48, is a native of Toronto, Canada, where his father owned and operated hotels. “He always had a hard time finding financing,” said Sheth. After he obtained an IT degree; and he and his wife moved to Buffalo where they would earn their master’s degrees. They tried to buy a string of pharmacies, and they experienced first-hand the struggle of finding financing. “I was begging. We had a 50 percent down payment, but could not get approval. I saw other businesses opening, and I figured they must have capital. That’s when I decided, I have to help my community.”

He left a six-figure IT salary and started his business in 1996 as a broker, finding investors for hotel projects. He decided to focus on the CMBS market as it seemed the best way to get minority business loans approved. CMBS or commercial mortgage back securities were growing as a means to finance new commercial real estate loans. Lenders not only like the increased security found in pooling CRE loans and selling them to other investors, but the fixed 10-year terms guarantee significant yields on investment.

He also learned about SBA financing. He recruited a partner and with \$10,000 in startup capital, they opened an office in a one-bedroom apartment with a fax machine and a desktop computer. He turned to the Asian American hotel community in search of clients. “These are the people we want to help.”

The first deal he successfully brokered with a bank was a \$5.7 million Hampton Inn. It earned him \$100,000, which he invested back into his fledgling venture. The following year, they earned more than \$200,000. That year, his partner decided to pursue a different path, by going to school and work in the hedge fund market. The breakup challenged Sheth’s confidence in his business idea; he considered getting back into IT. “My wife said if I still believed in the idea, I should not quit. So I stayed in.”

In 1999, Sheth and his family moved from Buffalo to Chattanooga. He formed a partnership with someone with a background in SBA funding. They exhibited at their first AAHOA convention “We killed it. We broke revenue records.”

The partner concentrated on finding SBA financing for The Loan Depot clients, but the CMBS business was the largest generator of revenue. In 2001, the company made its first \$1 million in profit, and formed a limited liability corporation.

Bumpy beginning

Signs of an economic recession emerged in early 2001; the terrorist attacks in September 11, 2001, dealt the final blow to the U.S. economy. The CMBS market shutdown overnight and The Loan Depot saw \$1 million in prospective profit go down the drain.

“The only thing we had was SBA, and it saved the day,” Sheth said. The partners changed their focus and became a bank service provider, teaching banks how to do SBA loans. Banks were seeing double-digit profit from the loans, and The Loan Depot LLC was reaping profit in servicing fees.

In late 2002, the CMBS market revived, and The Loan Depot was in business big time. The next year it built a complex of three buildings in Chattanooga – one for the SBA business, the other for the CMBS operation and a third for processing the deals.

Seeing how much money the banks were making, the partners decided to get into the lending business. In 2004, they opened The Loan Depot Lending Co. Inc., a non-depository bank that provided SBA commercial loans.

While Sheth did not lose his initial focus – specializing in serving minority business owners – but he erred in not focusing on all of the business. Each year saw record profits, and Sheth, as half owner and CFO, said he wanted to grow the business so it could effectively compete against large lenders. They got a line of credit for \$75 million and formed a board of directors. The partner fell ill and was out of the office for a substantial time; the SBA division began to falter as no new revenue was coming in. When the partner returned to work, expenses continued to escalate; in 2007 the men agreed to split, and Sheth was left with most of the company debt.

Worst year ever

As he worked to recover from the setback, an hotelier convinced Sheth to invest in hotels. He and Sheth had once discussed doing business together years before, but the deal soured before it got off the ground. Sheth failed to heed that earlier caution flag. By May 2008, they bought four hotels – \$30 million worth of assets – for \$12 million.

Sheth knew nothing about hotel management, and believed his hotelier partner was staying on top of operations. While Sheth focused elsewhere on his business, the hotels began to struggle financially and mortgage payments fell behind. The banking crisis had hit and the U.S. was plunged into a recession. The CMBS market dried up; and banks were not doing any lending, SBA or no. The hotelier sued Sheth, and they ended up settling.

Here he was in the depths of the Great Recession, in debt, not generating any new business, stuck with failing assets, with no knowledge on how to operate a hotel. He found out whom he could really trust.

He called his dad. His father gave him all he had, Sheth said, and raised money from friends and family to make up the back payments. “I am scrambling. The guy who sits in an office 24/7 now is on the road going to hotels. I stood in front of the hotels and said, ‘What do I do? Where do I start?’” My wife said, ‘We’re behind you.’” Sheth was eventually left with two employees, Parag and Asmita Barot. “They stood beside me for a very trying two years. We had to keep borrowing more and more money to survive; and these people helped me even when I could not make payroll.”

Greater help was on the way. “In 2009, God said, ‘Hey, wake up; it’s not over yet,’ and he told me to start doing receiverships.’ He called a few of his bank friends who gave him six properties; he earned enough to survive the downfall and begin to pay back debts.

In late 2010, the lending market began to revive, and The Lending Depot went back into action. An SBA banker reconnected with Sheth, and the company did a deal for a hotel in Florida. “It gave me the boost I needed. I knew I could make it.” By 2011, The Loan Depot and its lending arm were back in full swing, progressing each year. Last year, it did \$320 million in hotel loans.

Work smarter

Sheth and his family moved to Atlanta in September 2015. He said he no longer gives others control over his business; and he is more vigilant. “If you are confident in your plans and you believe they are solid, don’t back down.” The financier has restructured the company into a sustainable operation – no more eggs in one basket.

It is now named LD Capital LLC, an umbrella company that includes LD Capital Realty LLC, for large deals (\$3 million-\$200 million); LD Capital Small Business Finance LLC for deals ranging from \$100,000 to \$6 million; and LD Capital Leasing, loans for FF&E.

Sheth expects the CMBS market to pick back up as the loans made in 2006 and 2007 come due and borrowers refinance the mortgages with another CMBS deal. SBA lending is still strong, and this summer the 504 refinancing program will launch. LD Capital Small Business Finance has added to its list of services business loans backed by the U.S. Department of Agriculture, which aids borrowers in rural areas; and it is raising equity with the goal to go public.

He has opened a back office in India, where loans are underwritten, closed and sent back to the U.S., keeping LD Capital in operation practically 24 hours a day.

All in all, LD Capital, with 18 employees, is on solid footing. “I have learned from the past,” Sheth said. “We have changed our business model to protect ourselves and to protect our borrowers.”